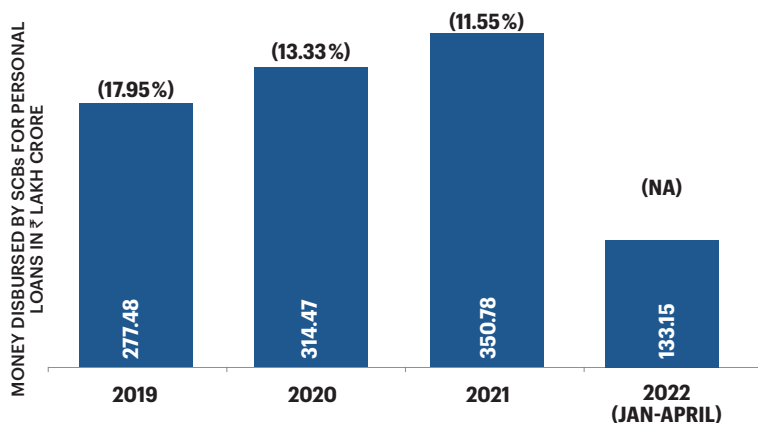


PERSONAL LOANS CONTINUE TO GO UP

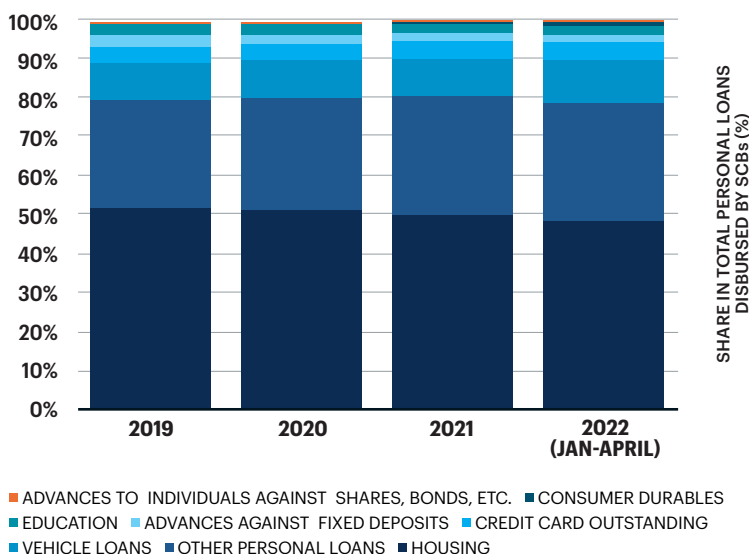
As the economy comes out of the shadow of Covid-19, the demand for credit has been growing



FIGURES IN BRACKETS INDICATE YoY GROWTH; SCBs: SCHEDULED COMMERCIAL BANKS; **SOURCE:** CMIE

HOW PEOPLE USE PERSONAL LOANS

Rise in housing loans, credit card spending, loans for vehicles and consumer durables contributed the most to the surge



SOURCE CMIE

their biggest USP. The offerings on loan amount, rate of interest and tenure are competitive like banks, and are adjusted to suit the customer's risk profile. Another big advantage is flexible repayment options and fully transparent charges," says Manish Chaudhari, President and Chief of Staff at Poonawalla Fincorp,

a Pune-based NBFC. Some of the popular names include Bajaj Finserv and Home Credit, among others.

Another option is fintech companies such as Navi Finserv and Loan-Tap. These are popular among millennials and the self-employed for their less-stringent eligibility criteria. But there are downsides. "Not ev-

erybody is technically literate. Not everybody has a smartphone. And, it can be addictive," says Mel Gerard Carvill, Non-executive Director and Board Member at Home Credit N.V., a global consumer finance provider.

The growing demand for personal loans is reflected in CMIE's recent Economic Outlook report. Outstanding personal loans between December 2021 and March 2022 increased between 2.4 per cent and 4 per cent, it says. With the economy coming out of the shadow of Covid-19, the demand for credit has been growing. CMIE says a revival in demand for bank credit commenced from the second half of FY22, which, according to analysts, seems to be continuing into FY23.

Of the various types of personal loans, an increase in credit card spending, housing loans, vehicle loans, loans for consumer durables and other personal loans have contributed to the surge. These together make up over 90 per cent of outstanding personal loans—which expanded by ₹57,165 crore month-on-month in April 2022. However, month-on-month growth hit a five-month low of 1.7 per cent, owing to high inflation affecting consumer demand. This figure could come under further pressure, with the Reserve Bank of India (RBI) raising the repo rate twice in just 36 days to 4.9 per cent. While personal loans are growing, is it the right time to go in for one? Here are a few factors you should consider.

KEY FACTORS

In this rising interest rate scenario, before you apply for a personal loan, it is important to compare interest rates offered by lenders, as the lowest rate will make your EMIs smaller. Your credit score is also directly linked to the interest rate. And, the credit score is the only factor that is within the borrowers' control that has a bearing on interest rates.

A credit score is a three-digit number assigned to an individual on a scale of 300-900 points. It is